

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers		File:	10/11/1/9 & 10/41/1/5/2	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	30 January 2004	01 February 2004	97.A.i (ST)	Withdrawn	31 July 2008
2 nd	31 July 2008	01 August 2008	97.A.ii (ST)	In force	-
3 rd	-	-	-	-	-
Subject:	Motor vehicle warranty and extended motor vehicle warranty cover				

1. Background

The issuing of motor vehicle warranties and extended motor vehicle warranties against payment, indemnifying purchasers of motor vehicles against losses which they might suffer in connection with the motor vehicles, constitutes the carrying on of short-term insurance business as contemplated in the Short-term Insurance Act, 1998 (Act No. 53 of 1998) (Act). These warranties are in certain cases coupled with the marketing of other products, for example oil. Risks of this nature, whether or not the warranties are coupled with the sale of other products, must be underwritten by registered short-term insurers.

2. Purpose

The purpose of this Directive is to acquaint short-term insurers and independent intermediaries of the view taken by this Office on motor vehicle warranty and extended motor vehicle warranty cover and the requirements for underwriting these particular types of risk in terms of the provisions of the Act.

3. Requirements for underwriting

Short-term insurers and independent intermediaries must adhere to the following requirements for underwriting motor vehicle warranty and extended motor vehicle warranty cover:

- 3.1 The Registrar, in terms of section 4(7)(a) of the Act, determined that motor vehicle warranty and extended motor vehicle warranty cover shall form part of the class "motor policy" as defined in section 1 of the Act;
- 3.2 A short-term insurer underwriting motor vehicle warranty and extended motor vehicle warranty cover must be registered for the class "motor policy" as defined in section 1(1) of the Act and comply with the conditions subject to which the insurer has been registered, if any, specified by the Registrar in terms of section 9(2) read with section 11 of the Act;
- 3.3 A short-term insurer must issue a separate policy document that provides the motor vehicle warranty or extended motor vehicle warranty cover and any incidental benefits, and reflects, among others, the gross premium charged by the short-term insurer for the cover. A meaningful breakdown of the composition of the gross premium charged for each of the benefits under the policy must be disclosed to the policyholder;
- 3.4 The provisions of section 44 of the Act regarding prohibition on inducements must be complied with;
- 3.5 The provisions of section 45 of, and Part 4 of the Regulations to, the Act in respect of premiums collected by an independent intermediary on behalf of a short-term insurer must be complied with. Attention is specifically drawn to regulations 4.1(1), 4.1(2), 4.2(c) and 4.3(3). Section 54(4) provides that for the purposes of the validity of a short-term policy the payment of a premium under a short-term policy to a person authorised as contemplated in section 45, shall be deemed to be payment to the short-term insurer under that short-term policy;
- 3.6 The provisions of section 48 of, and Part 5 of the Regulations to, the Act in respect of remuneration and binder agreements must be adhered to.

The commission payable to an independent intermediary who renders "services as intermediary" as defined in section 1(1) of the Act, shall not exceed the maximum percentage in respect of a "motor policy" in Part 5 of the Regulations to the Act. Attention is specifically drawn to regulations 5.1(3), 5.2 and 5.3(a).

If an independent intermediary in terms of an agreement under section 48(2)(c) of the Act is by virtue of such agreement entitled to any remuneration other than by way of commission only, the agreement must set out the basis on which the intermediary is remunerated for services rendered in terms of such agreement and the provisions of section 48(3) of the Act will apply;

- 3.7 The provisions of section 8(5) of the Act require that an independent intermediary shall not charge, in addition to any remuneration contemplated in section 48, any fee which is payable by a policyholder unless the amount thereof is disclosed expressly and separately to the policyholder by the intermediary;
- 3.8 The provisions of the Policyholder Protection Rules (Short-term Insurance), 2004, promulgated under section 55 of the Act, apply. Attention is specifically drawn to rule 7.1(a)(i);
- 3.9 A short-term insurer underwriting motor vehicle warranty and extended motor vehicle warranty cover must ensure that the short-term insurance business concerned is carried on soundly and in a manner whereby the short-term insurer will be in a position to meet its liabilities. A short-term insurer, as part of the risk analysis, may require that a vehicle be inspected for mechanical faults and that the insurer is provided with a report on the findings. An inspection fee may be paid by the insurer only upon receipt of the inspection report for a vehicle. The inspection fee, depending on the type and style of inspection, must be commensurate to the service provided. The short-term insurer must ensure that proper records of the inspection report and fee are kept and must make these records available to the Registrar upon request in terms of section 4(2) of the Act;
- 3.10 A short-term insurer, or an independent intermediary in terms of an agreement under section 48(2)(b) of the Act, must pay claims under the policy from assets of the short-term insurer. Claims must not be restricted to any designated fund such as advance repair payments or by any method such as claims ratio;
- 3.11 A short-term insurer when making payment to an independent intermediary for rendering a service which does not form part of the definition of "services as intermediary" in section 1(1) of the Act, such as an inspection fee, must ensure that a legal basis for such payment exists.

4. Compliance

Short-term insurers and independent intermediaries who engage in the type of short-term insurance business described in this directive must comply with the relevant provisions in the Act and requirements referred to in paragraph 3.

4.1 Section 65 of the Act, among others, provides that a short-term insurer which contravenes or fails to comply-

- with a provision of section 4(2) or (4), 44, 45 or 48(1) or (2) or where a rule contemplated in section 55(2)(e) so provides, contravenes or fails to comply with a provision of any rule promulgated under section 55(5), to the extent so provided, shall be guilty of an offence and liable on conviction to a fine not exceeding R100 000;
- with a condition contemplated in section 7(1)(a) or 9(2)(a) shall be guilty of an offence and liable on conviction to a fine not exceeding R1 000 000.

4.2 Section 64(1) of the Act, among others, provides that a person, other than a short-term insurer, who contravenes or fails to comply-

- with a provision of section 44, 45, or 48(1) or (3) or where a rule contemplated in section 55(2)(e) so provides, contravenes or fails to comply with a provision of any rule under section 55(5), to the extent so provided shall be guilty of an offence and liable on conviction to a fine not exceeding R100 000 or to imprisonment for a period not exceeding one year or to both such fine and such imprisonment.
- with section 7(1)(a) shall be guilty of an offence and liable on conviction to a fine not exceeding R1 000 000 or to imprisonment for a period not exceeding 10 years or to both such fine and such imprisonment.

4.3 Persons who engage in the type of short-term insurance business described in this directive will also be subject to the Financial Advisory and Intermediary Services Act 37 of 2002 and any other applicable legislation.

4.4 It should be noted that sections 48, 48(2), 64 and 65 are in the process of being amended as proposed in the Insurance Laws Amendment Bill, 2008. Any arrangements in this directive will be substituted by new arrangements in line with the new wording of the referred to sections when those provisions are enacted.

5. Reporting

- 5.1 If the short-term insurer and/or an independent intermediary in terms of an agreement under section 48(2) of the Act is or was involved in such practices or schemes or any variations thereof which are in contravention of the provisions of the Act recorded in this directive the public officer of the short-term insurer is required in terms of section 4(4)(a) of the Act to furnish this Office in writing within ninety days from the effective date of this directive with the following information:
- (a) The provisions that are being, or have been, contravened.
 - (b) The steps that are being, or will be, taken by the short-term insurer to rectify the contraventions.
 - (c) Confirmation that the board of the short-term insurer has been, or will be, made aware of (a) and (b).
 - (d) The steps that the public officer of the short-term insurer as far as it is in his or her power has taken, or will be taking, to ensure that the insurer complies with the Act (vide section 16(2) of the Act and Directive 138.A.i(LT&ST).
- 5.2 If the short-term insurer is not, or has not been, involved in such practices or schemes or any variations thereof or the short-term insurer does not underwrite motor vehicle warranty and/or extended motor vehicle warranty cover, the public officer must inform this Office in writing within ninety days from the effective date of this directive accordingly.
- 5.3 The public officer of the short-term insurer must furnish this Office in writing within ninety days from the effective date of this directive, with-
- (a) the name(s) of the existing independent intermediary(ies) that the short-term insurer has authorised to enter into a "motor policy" providing motor vehicle warranty or extended motor vehicle warranty cover (in respect of which the short-term insurer has liabilities under section 32 of the Act as at the effective date of this directive) in terms of an agreement under section 48(2) of the Act, distinguishing between-
 - (i) independent intermediaries who, by virtue of such agreement, are entitled to any remuneration other than by way of commission only, and
 - (ii) independent intermediaries who are entitled to any remuneration by way of commission only;

- (b) the name(s) of the existing independent intermediary(ies) that the short-term insurer has authorised to receive, hold or in any other manner deal with premiums payable under a “motor policy” providing motor vehicle warranty or extended motor vehicle warranty cover (in respect of which the short-term insurer has liabilities under section 32 of the Act as at the effective date of this directive) in terms of an agreement under section 45 of the Act and the amount of security that the independent intermediary(ies) has provided, distinguishing between-
 - (i) a “guarantee policy” issued by the Intermediaries Guarantee Facility Limited (IGF); and
 - (ii) a contract which, but for the fact that the undertaking concerned is given by a bank, would be a “guarantee policy”.
- (c) the names of the independent intermediaries if more than one intermediary are receiving or have received a premium in relation to the same policy if it is a policy forming part of personal lines business.

5.4 If the short-term insurer has not permitted and authorised any independent intermediary in terms of sections 45 or 48(2) of the Act in respect of motor vehicle warranty or extended motor vehicle warranty cover (in respect of which the short-term insurer has liabilities under section 32 of the Act as at the effective date of this directive) the public officer of the short-term insurer must inform this Office in writing within ninety days from the effective date of this directive accordingly.

6. Information sharing

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Short-term insurers must bring this directive to the attention of their appointed auditors and any independent intermediary which the insurer has permitted and authorised or will permit and authorise in terms of sections 45 or 48(2) of the Act in respect of motor vehicle warranty or extended motor vehicle warranty cover.



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